Economics - Undergraduate Level Assessment 4 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. If the CPI goes to 150 from 120 then prices have

   (a) fallen 50 percent.

   (b) fallen 25 percent.

   (c) risen 15 percent.

   (d) risen 20 percent.

   (e) fallen 20 percent.

2. A small business estimates price elasticity of demand for the product to be 3. To raise total revenue, owners should

   (a) keep the price constant as demand is elastic.

   (b) decrease price as demand is inelastic.

   (c) decrease the quality of the product.

   (d) increase price as demand is elastic.

   (e) increase price as demand is inelastic.

3. Economics supposedly deals with the efficient allocation of scarce goods. Where does scarcity fit in the circular flow model?

   (a) Scarcity is relevant only for non-renewable resources in the circular flow model

   (b) Scarcity is only relevant in the factor markets of the circular flow model

   (c) Scarcity is only considered in the household sector of the circular flow model

   (d) Scarcity is addressed through government intervention in the circular flow model

   (e) Scarcity is implicit in the entire analysis of the circular flow model

4. According to the quantity theory of money increasing the money supply serves to

   (a) increase long-run output with no significant impact on inflation.

   (b) have no significant impact on either output or inflation.

   (c) lower the unemployment rate while also lowering the rate of inflation.

   (d) increase short-run output but it is the source of long-run inflation.

   (e) increase the nation's long-run capacity to produce.

5. How might the traditional view of economic efficiency in an oligopolyand the historical facts surrounding many oligopol-isticmanufacturing industries disagree with each other?

(a) Historical data contradicts theory

(b) Oligopolies are less common in practice than in theory

(c) There is no contradiction between theory and practice

(d) Historical data is insufficient to determine the efficiency of oligopolies

(e) Oligopolies typically demonstrate higher innovation rates than predicted

True / False (10 marks)

Answer True or False

6. True or False: If nominal GDP is $6000andtheGDPdeflatoris200,thenrealGDPequals4000$.

7. True or False: Raising taxes on disposable income is primarily aimed at reducing cost-push inflation in the economy.

8. True or False: Social overhead capital consists solely of private sector investments in technology startups and corporate research initiatives.

9. True or False: Lower interest rates that increase private investment enhance the impact of expansionary fiscal policy.

10. True or False: A tax cut in a full employment economy will lower real output without affecting the price level.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the relationship between income elasticity of demand for real money and real income growth. Given an income elasticity of 0.8 and a 2.6% increase in real money demand, calculate the growth rate of real income and analyze its implications.

12. Discuss how public debt can create inflationary pressures in an economy, focusing on its impact on consumption spending and the timing of purchasing power.

End of Paper